



THE ENTREPRENEUR'S GUIDE TO A
**SELF-MANAGING
COMPANY[®]**



Imagine a scenario where you get to do just what you like in your business and it grows and prospers, even in your absence. You provide the evolving vision, and your team makes it real, often in ways you couldn't have imagined. In fact, many of the results and positive by-products they achieve amaze you.

We're not talking passive income streams here, but a thriving company where you get to just focus on the part of the game of business that's fun for you — the part that allows you to achieve your biggest business and personal goals — and yet frees you from the task of management, which, let's face it, is not what any entrepreneur starts a business for.

The Self-Managing Company® is a company that manages itself to growth.

In a Self-Managing Company, not only does the company grow when the entrepreneur is not there, it actually grows more, the more freed up the entrepreneur becomes.

Freed up from *what*, you might ask? From everything you find energy-draining, distracting, frustrating, and tedious, and even those things you do exceedingly well that you're not really passionate about.

And, more importantly, freed up *to* do all the things you'd rather be doing with that time and energy, whether that's focusing more on your spouse and kids, making a bigger impact in the world in the ways that matter to you, or finding and capturing your next really big business opportunity, and the one after that.

When you're not totally occupied with what's going on in your *present company*, you have a lot more time and energy to focus on building a *future company* that's 10x bigger or better. And you can do it without sacrificing an exceptional quality of life.

By making their companies more self-managing, entrepreneurs in The Strategic Coach® Program have been able to free themselves up to take year-long trips around the world with their families, write books, summit multiple world-class peaks, help thousands of people in less-fortunate circumstances, spend life-transforming time focused on their kids, and transform entire industries, all while their businesses continued to grow and thrive.

This kind of *entrepreneurial freedom*, where your business becomes the vehicle for the achievement of all your life's goals, is what we're talking about. It's freedom of **time**,



money, relationship, and purpose: having the freedom to work only when you want, make as much money as you want, work with whomever you want, and create the kind of world you want.

In our experience, most entrepreneurs who achieve this give up any thoughts of retirement. In fact, the notion becomes meaningless since they can create all the free time they want, and they get to stay in the game and evolve it so it's continually more fascinating and motivating.

If this sounds like a pretty great life, that's because *it is*.

But here's the catch:

Only a certain subset of entrepreneurs *has what it takes* to pull this off in the near term—and an *even smaller number* within that subset ever manages to *actually* do it. (We'll get into the reasons why shortly.)

The upside is that many more entrepreneurs *could* experience the freedom that a Self-Managing Company provides if they're willing to build the foundation. All it takes is a combination of attitudes and experience that are within any willing entrepreneur's grasp.

Building a Self-Managing Company is a gradual process—one where every bit of progress has significant rewards. What it means to actually achieve this may differ from entrepreneur to entrepreneur, but increasing freedom, income, and quality of life simultaneously are the basic objectives. Most of the entrepreneurs we speak to agree that even small gains in freedom can cause major improvements in their enjoyment of life, the growth of their businesses, their peace of mind, and their mental and physical health.

At 40 percent more freed up, an entrepreneur's life may appear completely transformed from where it was when they started. And, generally, it gets easier and more fun as they go along, mostly because changing habits at the beginning is the hardest part.

That said, there's a short list of qualities that we've found every entrepreneur must have to successfully embark on this journey of building a Self-Managing Company.

1. ARE YOU AN "ACHIEVEMENT ENTREPRENEUR"?

There are three types of entrepreneurs. The first is someone who's replaced working for someone else with working for themselves. Basically, this person hasn't created a business; they've created a job. The difference between this job and other jobs is that it's harder to get fired, but the hours are terrible. The main object is survival, so we call this a **survival** entrepreneur. The vast majority of people who fall under the broad category of "entrepreneur" are self-employed survival entrepreneurs. It goes without saying that if you're not amassing the resources to be able to hire, you don't have a company, and if you don't have a company, you can't have a Self-Managing Company.

The second type of entrepreneur had a particular lifestyle in mind growing up. This involved making a certain amount of money, having a certain kind of house in the right part of town, belonging to the right clubs, rubbing elbows with the right kind of people in their town, and putting their kids in the right kind of schools. They may grow a business to achieve this, but once their income and success hit that level, then it becomes about maintenance. They don't really want to go any further. We call these **lifestyle** entrepreneurs. There's nothing wrong with being a lifestyle entrepreneur, and many people are quite content in this kind of scenario. But it doesn't lay the best foundation for creating a Self-Managing Company. The reason is that if your goals only go as far as your own lifestyle, you're not likely to attract or harness the passions of people who will go above and beyond to make your business grow. (More on this when we get to the question on vision.)



For the third kind of entrepreneur, the main goal in their life is growth. When they reach one level, they have a compelling need to say, "Okay. Let's go to the next level." And the reason they do this is that it's fun. For them, entrepreneurship is a game, and their current success level is just the foundation for the next set of achievements. We call this type an **achievement** entrepreneur.

Achievement entrepreneurs are in the best position to create a Self-Managing Company. Their past achievements and the fact that they're always striving for more mean the pie is always getting bigger in these companies, which is a big attraction for growth-minded team members who want to play the game with them. Their biggest challenge tends to be the complexity that grows with success, and a Self-Managing Company becomes an attractive solution to regain simplicity, so building one is well worth the effort. On a continuum from "survival" to "achievement," with "lifestyle" sitting somewhere in the middle, how do you rate your entrepreneurial ambitions?

Survival		Lifestyle		Achievement	SCORE					
1	2	3	4	5	6	7	8	9	10	

2. ARE YOU EXPERIENCED ENOUGH?

You might think it would be easier to build a Self-Managing Company from the ground up, but in our experience, having a solid financial foundation and skill in growing a company to a certain level of success, as well as great clientele and a strong marketplace reputation, is vital. Without a solid base of resources, relationships, market

knowledge, and a proven, functioning business model, there's just too much to do and figure out and not enough cash coming in to get traction.

After a minimum of about three years, as long as the business is generating a healthy six-figure income for the entrepreneur, most successful businesses have enough momentum (and predictable cash flow) that the entrepreneur can begin thinking about moving toward a more Self-Managing Company. They know what the business is and that their basic survival needs are going to be covered, and it's time to free themselves up to start spending more time doing only what they're best at to grow it. The ones who build a Self-Managing Company are those who see everything they've done up till now as "Stage 1" in their entrepreneurial career and, with that as a foundation, are ready to move on to "Stage 2" where much more becomes possible. What stage are you at right now?

Start-up/<3 yrs.

Veteran/Stage 2-ready

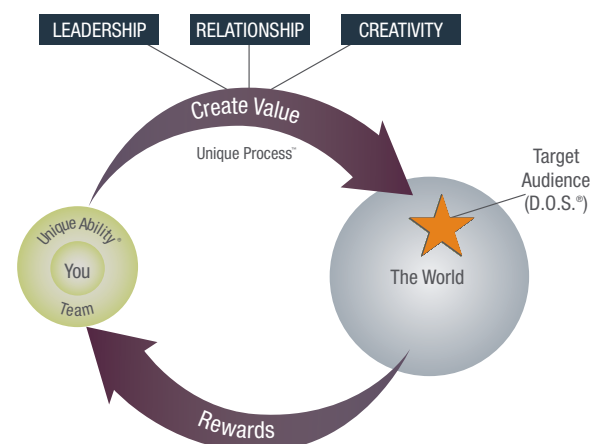
SCORE



3. IS YOUR VISION BIG ENOUGH?

In a Self-Managing Company, by definition, you have others doing a lot of the work and organizing, motivating, and scoring themselves toward increasingly better performance. How do you get people to do this on their own? Nothing succeeds in galvanizing effort like a really big, really clear vision. We're talking about the kind of vision that's much bigger than you that others can passionately get behind because it's aligned in some way with their own personal and professional goals. And to create this, you have to be passionate and clear yourself. You are the leader, after all. In the Self-Managing Company, *leadership*, not management, is the entrepreneur's focus and role. The object is to inspire, direct, and provide clarity when necessary. With a big, compelling vision, you unify your team in the belief that you're creating a bigger future together so they can confidently focus on making sure the present business is running well and headed in the right direction. Think of it like laying down track for a train. As long as the engineers are confident the track will be there and it's going to the right place, they can do everything they need to in order to keep the train running with very little input on your part.

At Coach, we can help entrepreneurs clarify their vision and communicate it better, but the *big* part has to come from them. Only you know what you're passionate about. A Self-Managing Company thrives on big, ambitious goals that inspire others. We suggest thinking 10x—even if it's only in a small area or single project at first to get yourself firmly into that



realm. And, just to be clear, we're not talking altruism here. This is about creating real value, the likes of which has never been seen before by your audience, either because it's totally innovative or just patently superior to what else exists in that space. In other words, you're passionate about being a hero to a specific target market by providing more direction, confidence, or capability in some area than they can find elsewhere. In return, they will reward you with things like money, referrals, trust, loyalty, a great reputation, and opportunities to further multiply your capabilities. This is a game worth winning for all the players, and your Self-Managing Company will be made up of people who enjoy the game you lay out for them. So, how's your vision?

Foggy/Ho-hum **Clear/Game-changing** **SCORE**

1 2 3 4 5 6 7 8 9 10

Score:

4. ARE YOU WILLING TO FOCUS ON YOUR STRENGTHS AND DELEGATE THE REST?

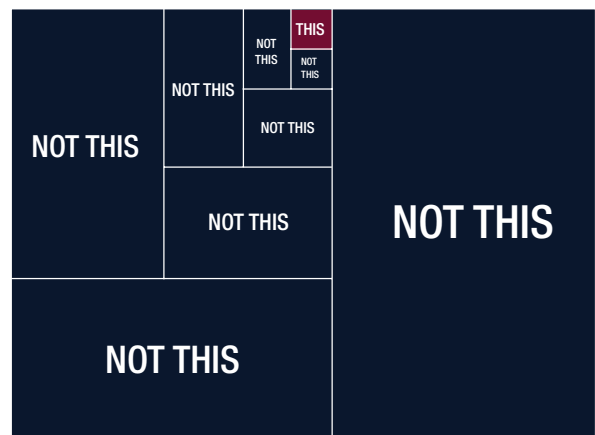
When it comes to building a Self-Managing Company, rugged individualists need not apply. A Self-Managing Company implies letting others, to some extent, run the show (though you get to say what the show *is* and keep innovating to make it better). This can be terrifying for some entrepreneurs—so scary, in fact, that they’d rather stay stuck at a certain level of growth and sacrifice personal freedom to stay in control of things that, if they could only step back and see it, are not the most productive use of their time.

You may be understandably reluctant to delegate if you feel that your support team or the level of teamwork in your company is not equal to your big goals and opportunities. However, consider the alternative: feeling overwhelmed by too much opportunity or pressured by too many demands on your time and attention to the point where you no longer have the strategic clarity or the time or energy to create the life or the business you want. Not fun. And yet too many entrepreneurs get stuck in this situation.

It's a fact of business that success breeds complexity and that, without increasing teamwork and delegation, most of this will tend to fall on the shoulders of the entrepreneur. It's the ability to counteract this tendency that makes the Self-Managing Company so appealing.

And it starts with the ability and willingness to free yourself up increasingly to do what creates the biggest results in your business by letting others take what's "not this" off your hands.

What's left will be what we call your Unique Ability®. This is



where your skill and passion intersect and create maximum value for the marketplace. It's where you have a superior skill and a never-ending capacity for growth and improvement that eventually take you into genius territory. Working in your Unique Ability gives you energy rather than draining it. Think of those moments when you really feel "in the zone," or things that others thank you for that seem like nothing, because you make something exceptional seem so easy. That's Unique Ability in action.

Unique Ability fuels the growth of a Self-Managing Company. Identify and focus on your own and delegate everything else, preferably to others who have a Unique Ability in those areas. When everyone is doing something they're passionate about and great at, and you have the clear vision we talked about above as a road map so people can see where their skills and contributions fit into the bigger picture, the need for management in the traditional top-down sense falls away.

In our experience, if you insist on managing everything, you will *always* need to manage everything because your team will never get more capable or more confident. In a Unique Ability® Team scenario, the team gets stronger and smarter by doing, and learning, and doing better, driven by each team member's passion for excellence and personal growth, which brings us to the next question.

But first, take a moment to score yourself honestly. How willing are you to delegate everything except those things that energize you *and* create the biggest results for your business? Does the prospect of doing this excite you or frighten you (with moderate apprehension somewhere in the middle)?

Yikes!								Excited!	SCORE
									
1	2	3	4	5	6	7	8	9	10

5. ARE YOU COMMITTED TO NEVER-ENDING LEARNING AND GROWTH?

If you answered yes to question 1, the answer to this question is almost certainly yes, to a certain extent. Achievement entrepreneurs like to learn and grow. The successful ones often have multiple coaches and mastermind groups they learn from. They may be avid readers too.

They're clearly willing to invest in themselves and in trying new things, and more than anything, they're into learning by doing. In fact, a good deal of their success has come by trial and error with the attitude that failure is the pathway to success. Obstacles to a goal are merely the raw material that point you toward the strategies necessary to achieve it.

So why are we adding this to the list of qualities? Because the ones who go the extra mile to create a Self-Managing Company are committed not just to *their own* never-ending learning and growth, but to their team's as well, and that's a real test. Are you willing to let your team make mistakes and fail in order to learn like you did? Do you trust them enough to make "progress, not perfection" a mantra, meaning that they are free to make mistakes as long as they learn and do better next time? You may be seeing why a solid financial foundation and a great clientele are necessary. There has to be room for learning.

To be fair, many of the entrepreneurs we've seen build a Self-Managing Company did not feel totally comfortable with this at the beginning. But they were open enough to the idea and bought into it enough in principle to at least experiment with it, and with results came increased confidence. In some cases, it took some time to get there, and it usually started by taking a bit of free time completely cut off from the office, and then some more, and then a LOT more. In the process, their teams learned to deal with whatever came up without them. From this, all the other obstacles to self-management within the team became evident and fixable.

The sign of success? When your team is glad to see you go so they can *really* get some work done. And when you can truly disengage and feel confident that the business is likely to be in better shape when you come back because they've got it under control and you trust their judgment. Not that you're dispensable. They still want you to provide them with the big picture and leadership, and do what you do best to drive the business forward. It's just that they know you'll do better when you're rested and rejuvenated, and if you're not getting distracted by micromanaging or things that are not your Unique Ability.

In this sense, the Self-Managing Company is a feat of teamwork between you and your team—one that pays off in multiples of opportunity, freedom, and income. The best news is, building it may be easier than you think. Infusing your team with entrepreneurial energy means you no longer have to shoulder all the weight of innovation and driving growth. Every bit of progress makes your life simpler and your results bigger, which in turn sets you up to take advantage of even greater opportunities. Don't worry at this point if you don't know how to do it yet. The question is, given that this is one of the magic keys to getting your company to be truly self-managing, how committed are you to supporting *never-ending learning and growth* as a central value for *everyone* in your organization?

No way									Totally committed	SCORE	
											
1	2	3	4	5	6	7	8	9	10		

HOW DO YOU SCORE?

The higher your scores on each of these five questions, the easier you'll find it to build a Self-Managing Company, starting right now. If you scored 9 or above on all five questions, perhaps you've already begun to build some self-managing aspects into your business, and if you haven't, you're well-primed to make progress quickly, especially with the right direction and tools.

Lower on some than others? No worries. As we said in the beginning, these are all attitudes and qualities any willing entrepreneur can cultivate. If it's just experience you're lacking (low score in #2), it may just not be time yet, but in the meantime you can keep strengthening the other attitudes as you build your business. In any of the other four areas, it's really up to your desire to improve. Now that you know what it takes, you can start the process of making your company more self-managing, knowing that as your scores increase, it will just get easier.

Unless one or more of the five seems like an *absolute deal-killer* in the sense that you know you'll never want to score higher than a 2 or 3, a Self-Managing Company is within your reach. The main point is that strengthening these five dimensions in ways that raise your scores will put you in a better position to make progress toward a Self-Managing Company *quickly*, which means more freedom sooner.

WHAT COMES NEXT?

How do you actually build a Self-Managing Company?

The Strategic Coach Program helps experienced achievement entrepreneurs build a company that manages itself to growth by:

- Freeing them up from everything that is not their Unique Ability.
- Strengthening an entrepreneurial attitude within their team.
- Supporting the development of a 10x vision.
- Providing the structure, process, and community needed to support entrepreneurial growth.

Over the past 30 years, Strategic Coach® has worked with over 20,000 entrepreneurs to help them achieve 10x growth and success. Building a Self-Managing Company was a means to that growth in almost every case.

If you think you have what it takes and want to get started, contact us today!
www.strategiccoach.com